

FUELLING GROWTH PM Modi hands a free LPG connection to a beneficiary in Odisha

made a presentation, in which he red-flagged the problem areas for states. Along with usual suspects like inefficient subsidies and reducing losses in the electricity supply chain, he also advocated reforms in revenue collection of local bodies, along with rationalising institutions and schemes.

THE WAYS OUT

To shore up the dwindling revenues of the states, the N.K. Singh-led 15th finance commission had recommended a gradual increase in property taxes, regularly raising fees for various government services like water, in addition to raising the excise duty on liquor and reforming local bodies and their record-keeping. The low accountability and autonomy of city agencies and the lack of an enabling environment compounds woes and adds more pressure on state finances, keeping them inefficient.

The central government, meanwhile, hopes to lead by example. To rationalise its subsidy spend, the government restricted it to Rs 3.17 lakh crore for the current fisc, 26.6 per cent lower than the revised estimates for FY22. The government spent Rs 4.33 lakh crore against the budget estimate of Rs 3.69 lakh crore in the previous fisc. Economists have hailed the move as a responsible one, where the government has prioritised "growth over political populism". They believe that the Centre should step in to constrain states too from overspending. Under Article 293(4), the Government of India may impose such conditions as it deems fit while granting consent to a state for raising loans. "The Centre has the levers to control the states and force them to stay in their limits. This is needed to push them to bring more transparency and accountability in their book-keeping," says Ashwani Mahajan, economist and co-convenor of the Swadeshi Jagran Manch.

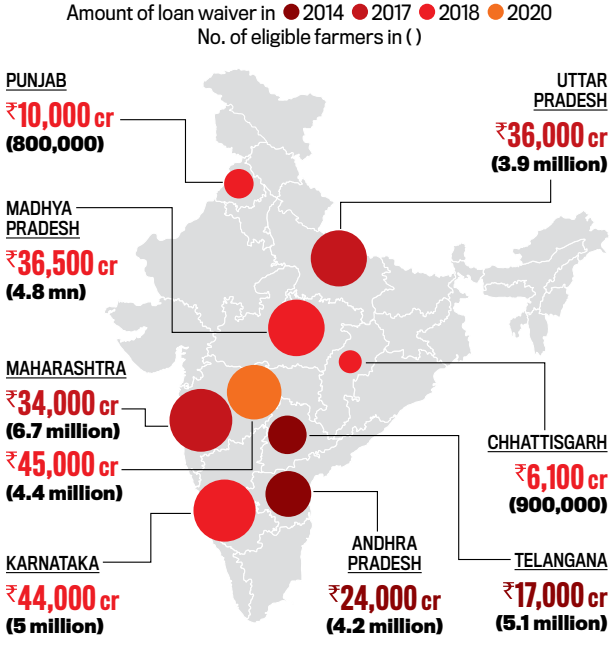
Most experts also say that there is a cost to subsidies and one has to decide between which ones are necessary and which ones are not. They believe that as long as the subsidy-induced welfare gain exceeds the tax-induced welfare loss, subsidisation may be recommended. "Whether it is a private company or a government, ideally any debt should pay for itself by generating future revenues for debt servicing," former RBI governor D. Subbarao said in a recent media article. "On the other hand, if borrowed money is spent on current consumption with no impact on future growth, we will be passing on the burden of repayment to our children—an egregious sin by any reckoning." He advocates several levels of institutionalised checks so that governments do not go astray, including at the legislature level, CAG audits, the market, and the Election Commission. "Define any unrequited transfer, including any good or service delivered below the cost price, as a freebie," he states, adding that there should also be a statutory hard budget constraint written into the FRBM Acts of the Centre and the states on how much they spend on such freebies. Subbarao's advice is sound. Now the Centre and states must follow it to avoid falling off the financial precipice. ■

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FARM LOAN WAIVERS

They have come in for particular criticism for being a disincentive and a drain on state finances



Source: SBI